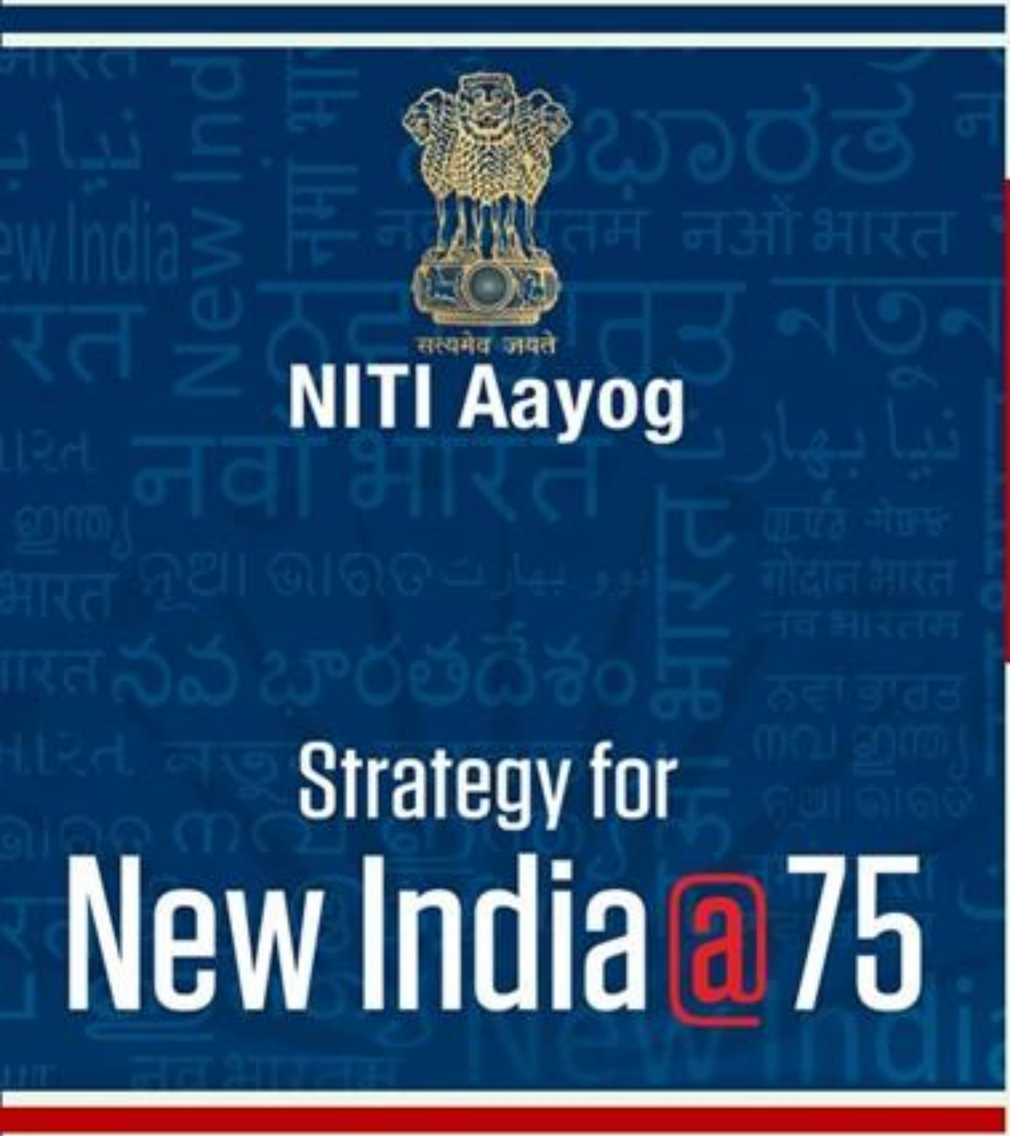


STRATEGY FOR NEW INDIA @ 75

MODULE - 1

STRATEGY FOR NEW INDIA @ 75

WHY THIS STRATEGY IS REQUIRED?

1. On August 15, 2022, Independent India will turn 75.

2. The Prime Minister's call for 'Sankalp Se Siddhi' is a clarion (loud and clear) call for radical transformation for a New India by 2022-23.

3. Seventy years ago, similar effort and resolve from all the Indians freed the country within five years of launch of the Quit India Movement in 1942.

4. The purpose of the Strategy for New India @ 75, is to define clear objectives for 2022-23 in a diverse range of 41 areas that recognize ...
   - The progress already made
   - Challenges that remain
   - Identifying the constraints
   - Suggesting the way forward.

STRATEGY FOR NEW INDIA @ 75

41 SECTORS & 4 SECTIONS!

1 DRIVERS

- These are the chapters on growth and employment.
- Important strategies include
  - Doubling of farmers' income
  - Boost to Make-in-India
  - Promoting fintech and tourism

FOUR KEY STEPS

1. Increase GFCF from present 29% to 36% of GDP.
2. Farmers should be made 'agripreneurs'.
3. Zero Budget Natural Farming
4. Maximum employment creation, codification of labour laws.

STRATEGY FOR NEW INDIA @ 75

41 SECTORS & 4 SECTIONS!

2 INFRASTRUCTURE

This deals with physical foundations of growth.

THREE KEY STEPS

1. Establishment of Rail Development Authority, which will facilitate integrated transparent and dynamic pricing mechanism for the railways.
2. Share of the freight transported by coastal shipping and inland waterways is to be doubled.
3. BharatNet programme is to be completed by 2019. In the next phase, last mile connectivity to the individual villages will be completed.

STRATEGY FOR NEW INDIA @ 75

41 SECTORS & 4 SECTIONS!

3 INCLUSION

It looks at various dimensions of health, education and mainstreaming of traditionally marginalised sections of the population.

FOUR KEY STEPS

1. Successful implementation of Ayushman Bharat programme, including the establishment of 1,50,000 Health and Wellness Centres.
2. Improving the quality of education, creation of new innovation ecosystem by establishing at least 10,000 Atal Tinkering Labs by 2020.
3. Affordable housing in urban areas to improve workers' living conditions and ensure equity (everyone is treated fairly and equally).
4. Focus on the North-Eastern region and successfully rolling out of Aspirational Districts Programme.

STRATEGY FOR NEW INDIA @ 75

41 SECTORS & 4 SECTIONS!

4 GOVERNANCE

Sharp focus on ensuring accountability and shift to performance based evaluation.

स्वच्छ भारत
एक कदम स्वच्छता की ओर

THREE KEY STEPS

1. Implementing the recommendations of the Second Administrative Reforms Commission.
2. A new autonomous body, the Arbitration Council of India, to grade arbitral institutions and accredit arbitrators to make the arbitration process cost effective and speedy.
3. Scope of Swachh Bharat Mission is to be expanded to cover landfills, plastic waste and municipal waste and generating wealth from waste.

नीति आयोग

1 GROWTH

OBJECTIVES

- Steadily accelerate GDP growth rate to achieve a target of about 8 % during 2018-23.
- This will raise the economy's size in real terms from $ 2.7 trillion in 2017-18 to nearly $ 4 trillion by 2022-23.
- Besides having rapid growth, which reaches 9-10% by 2022-23, it is also necessary to ensure that growth is inclusive, sustained, clean and formalized.
- Investment rate should be raised from 29% to 36% of GDP by 2022-23.
- Export of goods and services combined should be increased from $ 478 billion in 2017-18 to about $ 800 billion by 2022-23.

Learning Space

1 GROWTH

STATE OF THE ECONOMY AND FISC UNDER MODI

After demonetisation and GST shocker, growth appears to be bouncing back in FY19. But the quality of fiscal consolidation has suffered over the past few years, with the share of capital expenditure trending lower. With the immediate focus on addressing farm distress, the Centre has announced direct income support of ₹6,000/year for small and marginal farmers. Interestingly though, rural spending has already picked up notably in the last two years

Despite demonetisation and GST-led disruptions, growth under the Modi's government has been decent

Year	2005-06	2006-07	2007-08	2008-09	2009-10	2010-11	2011-12	2012-13	2013-14	2014-15	2015-16	2016-17	2017-18	2018-19*
GDP (Current)	14.0	17.1	15.1	12.6	15.5	19.9	14.4	13.8	13.0	11	10.5	11.5	11.3	12.3
GDP (constant)	7.9	8.1	7.7	3.1	7.9	8.5	5.2	5.5	6.4	7.4	8.0	8.2	7.2	7.2

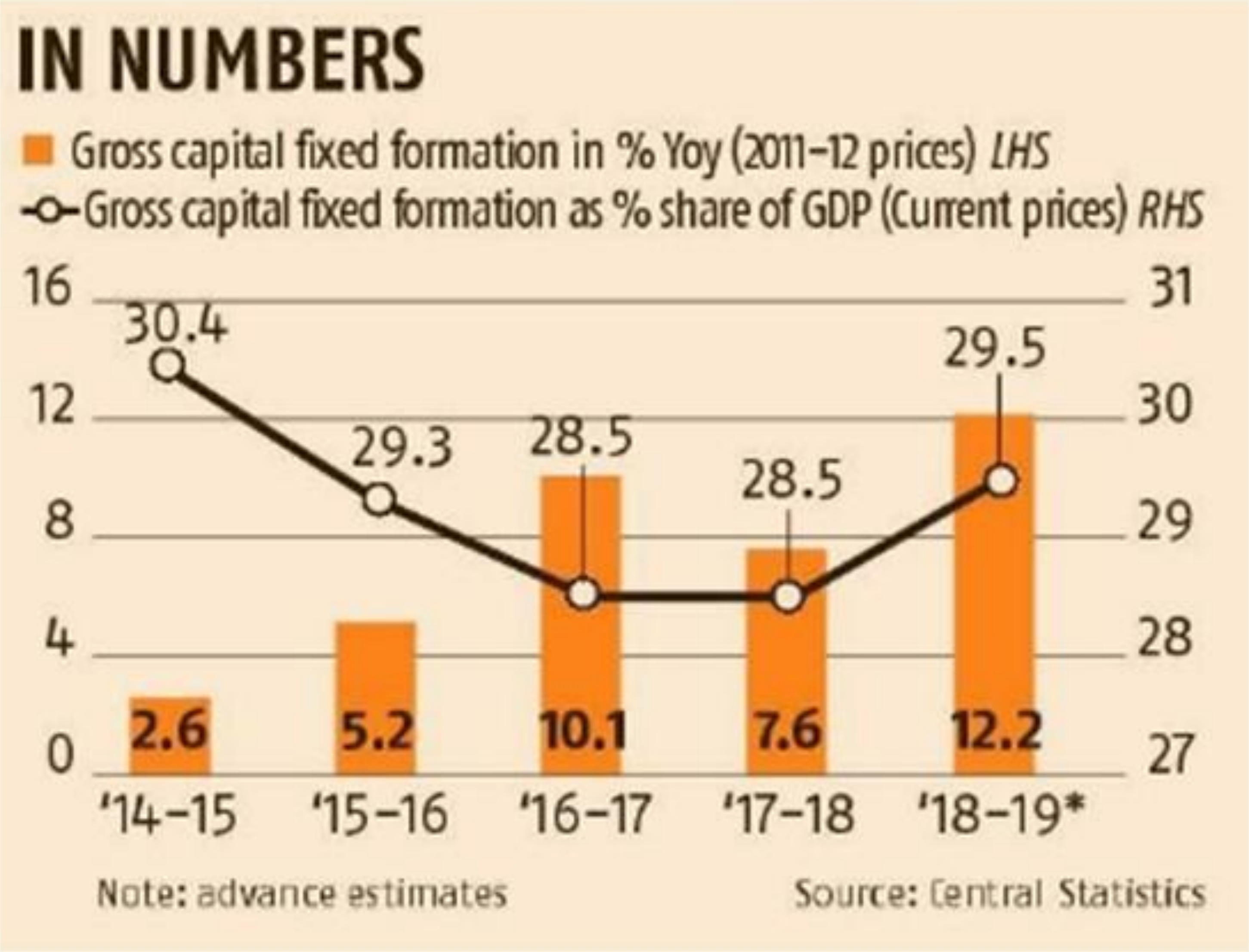
UPA II ▶ Real GDP growth average: **6.7%**; Nominal GDP growth average: **15.3 %**

NDA ▶ Real GDP growth average: **7.6%**; Nominal GDP growth average: **11.3%**

नीति आयोग

Learning Space

1 GROWTH



1 GROWTH

PRESENT SCENARIO

- The share of manufacturing in India's GDP is low relative to the average in low and middle-income countries.
- This is not increased in any significant measure in the quarter century after economic liberalization began in 1991.
- Moreover, the growth is the highest in sectors that are relatively capital intensive, such as automobiles and pharmaceuticals.
- Complex land and labour laws also played a notable part in this outcome.
- However, the positive news is that growth has been achieved with strong macroeconomic fundamentals, including low and stable rates of inflation and a falling fiscal deficit.

नीति आयोग

1 GROWTH

CONSTRAINTS

SEVERAL MEASURES SUGGESTED

1. Growth can be accelerated by a number of measures across different policy areas. These are detailed in different chapters of strategy for 2022-23.

2. Hence, various constraints are being expressed through different chapters

1 GROWTH

WAY FORWARD

RAISING THE INVESTMENT RATE TO 36% BY 2022-23 … WHAT NEEDS TO BE DONE?

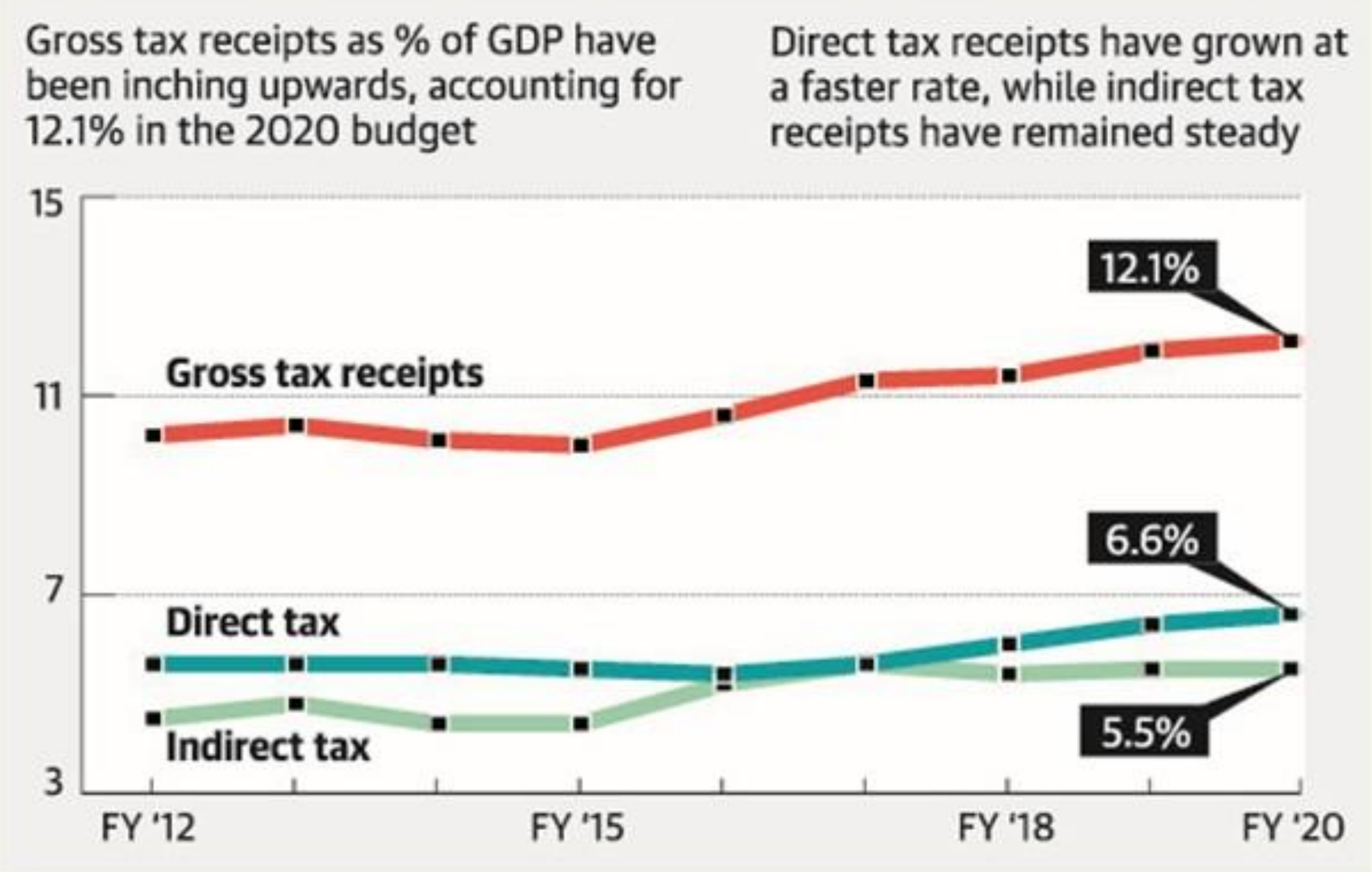
- India's tax to GDP ratio is around 17% and it is half the average of OECD countries (35%).
- If we look at other emerging economies, such as Brazil (34%), South Africa (27%), China (22%), they are much higher.
- India should aim to increase tax-GDP ratio to at least 22% of GDP by 2022-23.
- Demonetization and GST will contribute positively to this critical effort.
- Efforts should be taken to rationalize Direct Taxes for corporate tax and personal income tax.

DRIVERS

STRATEGY FOR NEW INDIA @ 75

नीति आयोग

1 GROWTH



States should undertake greater mobilization of own taxes such as property tax. They should also take specific steps to improve administration of GST to increase the tax collections.

1 GROWTH

WAY FORWARD

RAISING THE INVESTMENT RATE TO 36% BY 2022-23 ... WHAT NEEDS TO BE DONE?

... Contd

- Compliance burden is to be eased and direct interface between tax payers and tax officials should be removed by using technology.
- In 2016-17, the share of Government Capital Expenditure, both Centre and the States put together in total budget expenditure was 16% and Government's contribution to fixed capital formation was close to 4% of GDP.
- This needs to be increased to 7% of GDP by 2022-23.
- Government should concentrate on more productive assets and they should minimize the Effective Revenue Deficit.

1 GROWTH

WAY FORWARD

RAISING THE INVESTMENT RATE TO 36% BY 2022-23 ... WHAT NEEDS TO BE DONE?

TWO AREAS FOR HIGHER PUBLIC INVESTMENT

- They can be in housing and infrastructure.
- Investment in housing, especially in urban areas, will create very large multiplier effect on the economy.
- Investment in physical infrastructure will address long-standing deficiencies.

1 GROWTH

WAY FORWARD

WHAT ABOUT OTHER MEASURES REQUIRED?

- Government can further liberalize FDI norms.
- Domestic savings can be complemented by attracting foreign investments in bonds and government securities.
- Regulatory limits can be relaxed for rupee-denominated debt.
- Government should continue to exit Central Public Sector Enterprises (CPSEs) that are not strategic in nature.
- Inefficient CPSEs, surviving on Government support distort entire sector, as they operate without any real budget constraints.
- For larger CPSEs, the goal should be to create widely held companies by offloading stake to the public to create entities, where no single promoter has control.
- Private investments is to be encouraged in infrastructure through renewed Public-Private Partnership mechanism on the lines of Kelkar Committee.

1 GROWTH

WAY FORWARD

HOW TO ENSURE MACRO-ECONOMIC STABILITY?

- Reduced Debt-to-GDP ratio will reduce high interest cost burden on the Government budget.
- Reducing the debt will make improved availability of credit for the private sector in the financial markets.
- Government should be flexible in its approach towards setting annual targets.
- The flexibility should be in the form of adequately defined escape and buoyance clauses.
- Inflation needs to be contained within the range of 2% to 6%.

1 GROWTH

WAY FORWARD

EFFICIENT FINANCIAL INTERMEDIATION

- There is a need to deepen financial markets with easier availability of capital.
- Greater use of financial markets to channel the savings and an improved "risk assessment framework" for lending to avoid a situation of large scale Non Performing Assets in the banking sector.
- Improved governance in the Public Sector Banks is the need of the hour.
- Independent and commercially driven bank boards, performance assessment of executives and increased flexibility in human resources policy are suggested.
- GIFT City should be leveraged to push the financial sector liberalisation. It is an opportunity for onshore trading in rupees and other derivatives.
- Bond markets need to be deepened through liberalisation of regulations and renewed fiscal consolidation.

DRIVERS

STRATEGY FOR NEW INDIA @ 75

नीति आयोग

1 GROWTH

WAY FORWARD

HOW TO INCREASE EXPORTS & MANUFACTURING

- Improve the efficiency of the logistics sector.
- Power tariff structures should be rationalized to ensure global competitiveness.
- We should complete Delhi-Mumbai Industrial Corridor and Dedicated Freight Corridors by 2022-23.
- Centre should work with States to ease labour and land regulations.
- Flexibility in labour provisions across all the sectors is the need of the hour.
- All the State Governments should speedily implement Fixed Term Employment, that has now been extended to cover all the sectors.

1 GROWTH

WAY FORWARD

HOW TO INCREASE EXPORTS & MANUFACTURING

BIMSTEC

BBIN

- Government recently established dedicated fund of Rs. 5,000 crore for enhancing 12 champion services sectors.
- The Government should focus on these sectors, which include IT and ITES, tourism, medical value travel and audio visual services.
- Strengthen the governance and technical capabilities of Export Promotion Councils by giving well defined performance based evaluation.
- Explore closer economic integration within South Asia and with the Emerging Economies of South East Asia, especially Myanmar, Cambodia, Laos and Vietnam (MCLV) Countries.
- Using the BIMSTEC and BBIN networks, facilitate seamless cross border movement of goods in the north-eastern region.

1 GROWTH

WAY FORWARD

EMPLOYMENT GENERATION

- Achieving the growth targets by implementing the development strategy can generate sufficient jobs for new entrants.
- A large part of the jobs would hopefully be generated in labour intensive manufacturing sectors, construction and services.
- In addition, the employability of the labour needs to be enhanced by providing health, education and skilling outcomes.
- Massive expansion of the apprenticeship scheme is the need of the hour.

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SINCERE THANKS
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